

Diversification Rule



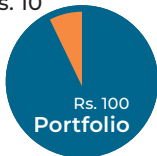
- Make a rule for maximum weight for a particular stock
- It is suggested, as a rule that we should not buy more than 10% worth of the portfolio for any stock. And have at least 20 companies in the portfolio.

To ensure that our portfolio is well-diversified, we will follow 3 basic rules:

Make a rule which specifies the maximum weight a stock can have:

- Maximum weight of a particular stock can range from 8%-10%. No stocks in the portfolio will be higher than 10%.
- Let us assume that 10% as a thumb rule to follow. Now even if you admire a stock, you really admire a stock, you will not be able to invest more than 10% of your total amount.

Rs. 10



Say total portfolio is Rs 100, then the investment in one stock should not be more than Rs 10.

What is your maximum level of exposure to a certain industry?

- Same rule applies when it comes to industry selection
- Individual industries must not account for more than 20-25% of the portfolio. We should never put all of our eggs in one basket or in a single industry/company.

Select a number for companies in your portfolio:

- As we discussed earlier ceiling of 10/company, we may end up purchasing ten companies for a 10% stake each. However, this would rather result in a concentrated portfolio. So, rather than doing that:
- We will ensure that our portfolio has at least 25 companies. So the weightage would be low for a lot of companies and we will have a diversified portfolio.
- You may apply the same principle to industries: Try and plan to incorporate at least 5 industries in the portfolio, preferably 6 to 7.
- Have at least 3-7 industries in your portfolio so that the portfolio is diversified at industry level.